

UNITED STATES DISTRICT COURT
NORTHERN DISTRICT OF CALIFORNIA

CASE NO: 2024-CV-08821

PLAINTIFF: DataSafe Technologies Inc.
DEFENDANT: CloudStore Solutions LLC

SUBJECT: Data Breach Liability and Negligence

I. STATEMENT OF FACTS

On March 3, 2024, CloudStore Solutions LLC suffered a data breach that exposed personally identifiable information (PII) of approximately 120,000 users, including names, email addresses, social security numbers, and financial records. DataSafe Technologies Inc. contracted CloudStore as a third-party data processor under a Data Processing Agreement (DPA) signed on January 15, 2023.

CloudStore failed to notify DataSafe of the breach until March 14, 2024, eleven days after discovery, in direct violation of GDPR Article 33 which mandates notification within 72 hours.

II. LEGAL ISSUES PRESENTED

1. Whether CloudStore breached its duty of care as a data processor.
 2. Whether DataSafe is liable to end-users as the data controller.
 3. Whether GDPR Article 82 imposes joint liability on both parties.
 4. Whether the 11-day notification delay constitutes a willful violation.
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III. RELEVANT PRECEDENTS

In re: Equifax Data Breach Litigation (2019):
The court held that companies storing sensitive consumer data owe a duty of care to implement reasonable security measures. Failure to do so constitutes negligence per se. Settlement: USD 575 million.

FTC v. Wyndham Worldwide Corp (2015):

Established that the FTC has authority to regulate corporate cybersecurity practices under Section 5 of the FTC Act. Poor security practices that harm consumers constitute unfair business practices.

Dittman v. UPMC (2018):

The Pennsylvania Supreme Court held that an employer that collects employee data has a duty to use reasonable care to protect that data from criminal intrusion.

IV. APPLICABLE REGULATIONS

GDPR Article 82:

Any person who has suffered material or non-material damage as a result of an infringement of this Regulation shall have the right to receive compensation from the controller or processor. Joint liability applies where both controller and processor are responsible for damage.

GDPR Article 33:

The controller shall notify the supervisory authority of a personal data breach within 72 hours of becoming aware of it. CloudStore failed to notify within the required timeframe.

California Consumer Privacy Act (CCPA) Section 1798.150:

Consumers may bring a civil action for statutory damages between USD 100 and USD 750 per consumer per incident for data breaches resulting from failure to maintain reasonable security procedures.

SEC Cybersecurity Disclosure Rule (2023):

If DataSafe is a public company, it must disclose this material cybersecurity incident within 4 business days of determining it is material.

V. CONCLUSION AND RECOMMENDED ACTION

Based on the foregoing, DataSafe Technologies respectfully submits that CloudStore Solutions LLC bears primary liability for the data breach due to:

1. Failure to implement adequate security controls.
2. Failure to provide timely breach notification under GDPR Article 33.

3. Breach of the Data Processing Agreement signed January 15, 2023.

Recommended Actions:

- File supervisory authority notification immediately.
- Issue breach notification to all 120,000 affected individuals.
- Preserve all electronic communications per litigation hold.
- Seek indemnification from CloudStore under DPA Section 8.

Respectfully submitted,

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Date: June 23, 2024